Costing Model — Four Options Compared

From current AX/Napoleonic to three Anglo-Saxon alternatives — all with full COGS decomposition (wood, chemicals, conversion, machining, packaging)

AS-IS — AX / Napoleonic

Current state — what we leave behind

Posting model	Napoleonic
Conversion costs	Expensed at production
COGS detail	Single "Kebony hour" — no split
BS valuation	Standard (fixed budget %)
Lot traceability	None

Limitations

- Conversion hits P&L too early
- Cannot trace margin to batch
- 4 variance accounts reconciled yearly
- Cost split is static, not actual
- No per-product margin analysis

Option A — Standard Cost

Anglo-Saxon + budget-based valuation

Posting model	Anglo-Saxon (COGS at sale)
Conversion costs	Absorbed into inventory via WC
COGS detail	5-component breakdown per line
BS valuation	Standard (budget price)
Lot traceability	Partial (lots exist, cost is flat)

+

- Full COGS explosion (5 components)
- Simple to understand
- Predictable margin (budget-based)

–

- Still hides reality behind budget
- 4 variance accounts needed
- Year-end revaluation required
- All lots at same cost — no batch insight

Option B+ — FIFO + Reporting Layer

Recommended — Anglo-Saxon + lot-based actual cost

Posting model	Anglo-Saxon (COGS at sale)
Conversion costs	Absorbed into inventory via WC
COGS detail	5-component breakdown per line
BS valuation	Actual cost per lot (FIFO layers)
Lot traceability	Full: Sale → Lot → MO → cost

+

- Each lot carries real production cost
- Self-reconciling — 0 variance accounts
- No year-end revaluation
- Auditor preferred (IAS 2.23)
- **Reporting layer** smooths margin by SKU quarter — no lot noise in management reports

–

- Lot-to-lot margin fluctuation in raw GL (solved by reporting layer)
- Requires accurate MO cost capture

Option C — Weighted Average

Anglo-Saxon + running average cost

Posting model	Anglo-Saxon (COGS at sale)
Conversion costs	Absorbed into inventory via WC
COGS detail	5-component breakdown per line
BS valuation	Running weighted average
Lot traceability	Destroyed — cost averaged away

+

- Smooth cost — no lot-to-lot noise
- Simple, widely understood
- 0 variance accounts

–

- **Lot traceability lost forever**
- Cannot trace cost back to MO
- Hides bad batches in the average
- One-way door — cannot reverse later

Decision needed: CEO / CFO to confirm Option B+ and the switch from Napoleonic to Anglo-Saxon before go-live config begins.

What "FIFO" means at Kebony: Not textbook FIFO averaging — each lot carries its own actual cost. FIFO governs the *reservation order* (oldest lot first, operator can override). The cost follows the specific lot sold. The quarterly reporting layer then averages margin by SKU — giving management a smooth, comparable view without losing the underlying precision.

Manufacturing Architecture — Planning Families, BOMs & Cost Versions

From raw wood to finished product — every step traced with lot-level granularity

Raw Lot → **Process Pack** → **Autoclave** → **Dryer Load (= 1 MO)** → **Finished Lot** → **RDK Machining**

PO receipt | grouping unit | chemical treatment | kiln drying | FIFO cost layer | subcontractor

Planning Family = The Template

Groups products by **species + dimensions + treatment profile**. Only same-family products can share autoclave/dryer loads. Stores hours, scrap %, chemical consumption, capacity.

BOM Auto-Generation

One button — **"Push BoM to Products"** — creates/updates BOMs for every product in the family:

- Wood component (scrap-adjusted, e.g. 1.04 m3 raw per 1 m3 FG)
- Chemical component (ready-mix kg per m3)
- Operations (stacking + autoclave + dryer hours from family)

Rule: Change family params → re-push. Never edit product BOMs directly.

Cost Version = Budget Period

Created monthly by Controller. Four building blocks:

Block	Content	Owner
WC Rates	EUR/h per work centre (personnel, energy, depreciation)	Controller
RM Prices	Standard raw material prices	Purchasing
Family Cards	Auto-computed: hours x rates = std cost/m3	System
BU Budget	Top-down allocation per BU	CFO

Gap Analysis — Budget vs Actual

Every product: **Standard** (cost version) vs **Actual** (FIFO MO) with price, volume & efficiency variances. Production Manager owns family params (quarterly). Controller owns cost versions (monthly). System computes everything else.

Approval Workflow — Vendor Bills & Purchase Orders

Sequential multi-level approval with amount thresholds, vendor BU classification & full audit trail

```
Document created (vendor bill or PO)
      |
      ▼
Request Approval  →  system matches Vendor BU + amount threshold
      |
      ▼
Approver 1  — Approve —>  Approver 2  — Approve —>  APPROVED
      |                       |
      Reject                  Reject
      |                       |
      ▼                       ▼
Back to draft  (fix & resubmit — full chain restarts)
```

Vendor BU Examples

Vendor BU	Typical Approval Chain
Raw Materials	Purchasing → CFO
Logistics / Freight	Logistics Mgr → CFO
Services / Consulting	BU Head → CFO → CEO
Subcontracting (RDK)	Production Mgr → CFO

Today

- Approval by email / verbal
- No audit trail
- Anyone can post a bill
- No spend visibility

Tomorrow

- Enforced in system
- Full audit trail
- Posting blocked
- Amount escalation

Benefits

- Segregation of duties
- Real-time status
- Instant audit trail
- Scalable rules

Key Design Principles

- **Sequential:** Approvers ordered by sequence — no skipping
- **Amount-based:** Small amounts = 1 level, large = 2-3 levels
- **Rejection = full restart:** Any rejection resets to draft
- **Self-service:** "My Approvals" dashboard per user
- **Cannot self-approve:** Submitter excluded from approval chain

Status: Custom module ready. Requires config: vendor BUs, thresholds, approver assignments.

Analytical & Management Reporting — Three Layers, One Truth

Odoo native at Day 1, custom SQL from Day 30, Microsoft Fabric from Q4 2026

Go-Live Jul 2026 — Odoo Native (~80% KPIs)	Sep 2026 — Custom SQL Dashboards	Q4 2026 — Microsoft Fabric + Power BI

Layer 1 — Odoo Native Day 1

- Invoice Analysis (revenue by area/month)
- Sales Analysis (SO pipeline)
- Inventory Valuation (by product/lot)
- Aged Receivable / Payable
- P&L, Balance Sheet
- MRP Production Analysis
- **Margin by SKU / country / customer / product group**

Layer 2 — Custom Odoo Phase 2

- **Sales Dashboard** pivot (Area x Month)
- 5 metrics: Invoiced, To Invoice, To Cash In, Prepayments, Paid
- Two views: Sales Pipeline + Cash Position
- Margin Report with COGS decomposition
- EOM Accrual tracking
- Entity-aware (US = Areas, BNV = Countries)

Layer 3 — Fabric Q4

- Data Factory → OneLake (Bronze/Silver/Gold)
- Power BI dashboards for C-suite
- Cross-entity consolidation
- Blended KPIs (Odoo + AX + external)
- Microsoft Purview governance
- Copilot AI/ML forecasting

Data Stewardship — One Owner per KPI Family

KPI Family	Steward	Source
Revenue & Invoicing	Controller	Odoo Accounting
Sales Pipeline	Sales Director	Odoo Sales
COGS & Margin	Controller	Custom module
Inventory & Stock	Warehouse Mgr	Odoo Inventory
Production Output	Production Mgr	Odoo MRP
Purchasing & Spend	Purchasing Mgr	Odoo Purchase

No more Excel kingdoms. Every operational KPI lives in Odoo. Personal spreadsheets are analysis tools, not source-of-truth. If Sales Director and Controller report revenue by area, they MUST match — same Odoo pivot.

Odoo = system of record. Fabric consumes, never writes back. Every number in Power BI traces to an Odoo document.

Sales Dashboard already live — Accounting → Reporting → Sales Dashboard. Real-time pivot by Sales Area x Month. No more excuses.